

country's banks like never before. Not only will the banks be called upon to intermediate credit in a much bigger and sophisticated manner, they will also need scale and capital in dollops to fund India Inc.'s growth appetite. And the RBI is pulling out all stops to ensure that the banking system is well prepared.

GOVERNANCE AND REGULATION

Amitabh Chaudhry, Managing Director and Chief Executive Officer of Axis Bank, fleshes out the link between governance premium in banks and servicing the aspirations of India Inc. "Banks with robust governance can borrow at lower interest rates and issue funds at a better cost. They are also in a better position to face financial crises more effectively. It helps build investor and customer confidence, reduce risks, and enhance the bank's reputation, making it easier to attract investments," he says.

The RBI's tête-à-tête with banks' boards took off from Finance Minister Nirmala Sitharaman's stress in Union Budget FY24 on the need for better governance and investor protection in the banking sector. She proposed amendments to the Reserve Bank of India Act (RBI Act), 1934; the Banking Regulation Act (BR Act), 1949; and the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970.

Sitharaman followed that up in Budget FY26 with a call for a trust-based regulatory framework. She announced a Committee for Regulatory Reforms to review all non-financial sector regulations, certifications, and licences.

This reiterates a *jugalbandi* between Mint Road, North Block, key ministries and India Inc. Read closer and what you will see is a much closer interface between



REGULATORY PUSH

- The RBI and government have been working actively to remove the fetters tying the financial sector
- The RBI has taken the lead in actively pushing for better governance standards in the banking sector
- It has embraced a consultative stance, reassuring stakeholders that their

concerns will be heard before regulations are made

- Going ahead, stakeholders say credit delivery has to be broad-based to MSMEs and rural sectors
- Besides, underwriting standards must be improved with advanced credit scoring models for easy availability

lenders and those seeking credit by slashing redundant bureaucracy and paperwork that stifles investment and entrepreneurship.

Now step back a bit, and let's stay with Mint Road and its contribution to the "ease of doing business". Not many are aware of the Regulatory Review Authority

2.0 (RRA 2.0). It drew from global best practices—be it on consultation ahead of policy formulation with structured meetings with banks' bosses, senior compliance officials, key stakeholders and trade bodies. Over 400 circulars were withdrawn.

RRA 2.0 built on Y.V. Reddy's